

COMPLIANCE & LEGAL REFERENCE SERIES

"I refuse to pay" is not a dispute.

What the FDCPA and FCRA actually require when a consumer refuses, when they dispute, and why coding the difference correctly protects both the consumer and the creditor.

Every collection floor hears it daily: *"I'm not paying this."* Whether those words legally count as a *dispute* determines whether validation rights attach, whether collection must pause, and whether the tradeline must be flagged as disputed at the credit bureaus. Get it wrong in one direction and the agency under-protects the consumer and buys statutory liability; get it wrong in the other and every frustrated refusal freezes legitimate recovery work. This paper explains where federal law actually draws the line — and the operating standard Southwest Recovery Services runs on every consumer account. It applies strictly to consumer (B2C) accounts: commercial and B2B receivables sit outside the FDCPA, and commercial credit files are not governed by the FCRA.

Executive summary

A bare verbal "I refuse to pay" is **not** a dispute under either the FDCPA or the FCRA. A dispute requires the consumer to *contest* the debt's validity, amount, or accuracy; a pure refusal reflects unwillingness or inability to pay and, standing alone, triggers neither validation-dispute obligations under 15 U.S.C. § 1692g nor any duty to report the account as disputed. Two nuances matter operationally. First, oral disputes are now uniformly valid in every federal circuit to invoke the § 1692g(a)(3) dispute right and the § 1692e(8) duty to report a known dispute — but only a **written** dispute compels a collector to cease collection until verification. Second, no magic words are required in either direction: "this isn't my account" is a dispute without the word *dispute*, and "I won't pay" is not a dispute no matter how emphatically it is said. Substance controls, which is why agent classification and documentation are the entire compliance game.

1. Two phrases, two statutes, two different consequences

The distinction is built into the FDCPA's own architecture. Section 1692c(c) is triggered when a consumer notifies a collector *in writing* that the consumer **refuses to pay** or wants communication to stop — and its consequence is that the collector must cease communicating. Section 1692g(b) is triggered when the consumer notifies the collector in writing that the debt **is disputed** — and its consequence is different: cease collection until the debt is verified. Congress used different trigger language and attached different remedies because a refusal and a dispute are different things: one is unwillingness to pay, the other is a contest of the debt. The CFPB carried the same split into Regulation F — 12 CFR 1006.6(c) mirrors the "refuses to pay" trigger, while the verification-on-dispute duty sits separately in 12 CFR 1006.38.

CONSUMER SAYS	LEGAL CHARACTER	WHAT IT TRIGGERS
"I won't pay this."	Refusal to pay	If written: § 1692c(c) cease-communication. No verification duty. No duty to report the account as disputed. Oral refusal alone: no statutory trigger.
"This isn't my debt." / "The amount is wrong." / "I already paid." / "I never signed."	Dispute (no magic words needed)	§ 1692g(a)(3) dispute right — oral or written. § 1692e(8) duty to reflect the dispute in any credit reporting. If written within the validation window: § 1692g(b) / 12 CFR 1006.38 cease-collection-until-verification.
"How was this calculated?"	Inquiry — not a dispute	In <i>Green v. LVNV Funding, LLC</i> (D.N.J. 2024) (unpublished), merely asking how the debt was calculated did not "in any sense of the word" dispute it. A pure refusal is further still from a dispute.

Courts read "dispute" in its ordinary sense — a conflict or controversy — and the FTC's guidance confirms the no-magic-words rule in the consumer's favor: notice suffices "as long as the consumer's notice makes clear that the debt is contested." The operative question on every call is the same: **did the consumer contest the debt, or merely decline to pay it?**

2. Oral disputes count — the circuit split is over

For nearly thirty years the circuits split on whether a § 1692g(a)(3) dispute had to be written. That question is now settled: every federal circuit to reach it holds that an oral dispute is valid. The textual key is that Congress wrote "in writing" into subsections (a)(4), (a)(5), and (b) — and omitted it from (a)(3).

CASE	COURT	HOLDING
Camacho v. Bridgeport Financial , 430 F.3d 1078 (2005)	9th Cir.	"There is no writing requirement implicit in § 1692g(a)(3)" — Congress acts intentionally when it includes a word in some subsections and omits it from others.
Hooks v. Forman, Holt, Eliades & Ravin , 717 F.3d 282 (2013)	2d Cir.	Agreed: oral disputes preserve the (a)(3) right.
Clark v. Absolute Collection Service , 741 F.3d 487 (2014)	4th Cir.	"Section 1692g(a)(3) permits consumers to dispute the validity of a debt orally."
Riccio v. Sentry Credit , No. 18-1463 (2020) (en banc)	3d Cir.	Overruled its own <i>Graziano</i> (1991), the last holdout: "we put an end to a circuit split and restore national uniformity to the meaning of § 1692g." Requiring a writing in (a)(3) would strip it of independent effect.

The result is a deliberately bifurcated regime. An **oral dispute preserves the consumer's rights** — and, if the account is credit-reported, obligates the collector to reflect the dispute — but a **written dispute is required to compel cessation of collection until verification** under § 1692g(b) and 12 CFR 1006.38. Regulation F's official interpretations define "in writing" to include mail, the tear-off response form on the validation notice, an accepted electronic medium, and in-person delivery.

3. The § 1692e(8) standard: knows or should know

Section 1692e(8) prohibits communicating credit information "which is known or which should be known to be false, including the failure to communicate that a disputed debt is disputed." The First Circuit in *Brady v. Credit Recovery Co.*, 160 F.3d 64 (1998), held that "the ordinary usage of 'dispute' does not contemplate a writing" — the duty "depends solely on the debt collector's knowledge that a debt is disputed, regardless of how or when that knowledge is acquired." The Seventh Circuit's *Bowse v. Portfolio Recovery Associates* (2018) found "the amount reported is not accurate" sufficient without the word *dispute*. The trigger, though, is still knowledge that the debt is *contested* — not knowledge that the consumer refuses to pay. A collector cannot rely on "it wasn't in writing" to avoid § 1692e(8); that reading is wrong and creates liability.

4. FCRA furnisher duties: what a verbal refusal does not trigger

On the credit-reporting side, the FCRA's furnisher duties are staged — and none of the stages is reached by a verbal refusal made on a collection call:

FCRA MECHANISM	TRIGGER	EFFECT OF A VERBAL "I REFUSE TO PAY"
§ 1681s-2(a)(3) — don't report known-disputed information without noting the dispute	Furnisher knows the information is disputed by the consumer	Not triggered — a refusal contests nothing. Subsection (a) is also enforceable only by regulators, not private suit.
§ 1681s-2(b) — investigate and correct (the privately enforceable duty)	A credit bureau forwards the consumer's dispute to the furnisher (§ 1681i / ACDV)	Not triggered — <i>Chiang v. Verizon New England</i> , 595 F.3d 26 (1st Cir. 2010): direct-to-furnisher notice "does not trigger a furnisher's duties under § 1681s-2(b)."
Direct disputes — § 1681s-2(a)(8) / Reg V, 12 CFR 1022.43	Written direct dispute concerning accuracy, sent to the specified address, identifying the disputed information with support	Not triggered — a verbal statement on a call meets none of the threshold requirements.
Metro 2 code XB — "account information disputed by consumer under the FCRA"	A genuine direct or bureau-routed dispute contesting accuracy	Not set for a refusal. Set when a real dispute is logged; updated (XR/XH/XC) after investigation.

"Regulator-enforced only" does not mean risk-free. In January 2025 the CFPB sued Experian over allegedly sham dispute investigations and entered a \$15 million consent order against Equifax for failing to investigate disputes thoroughly — dispute-

handling accuracy is a live enforcement priority across the reporting ecosystem, which is exactly why coding discipline matters at the furnisher level.

5. The operating standard SWRS runs

Because Southwest Recovery Services furnishes eligible consumer accounts to Equifax and Experian, we treat classification as a front-line compliance control, not a back-office cleanup:

- **Two-bucket disposition on every call.** Agents classify and document verbatim: *refusal to pay* (unwillingness or inability only — no dispute coding, no XB) versus *dispute* (anything contesting existence, amount, accuracy, or ownership — dispute handling triggered regardless of the word used and regardless of oral versus written).
- **Conservative § 1692e(8) knowledge policy.** Any agent who hears the consumer contest the debt flags it the same day, so any furnished tradeline reflects the dispute. Close calls are treated as disputes — the "knows or should know" standard has no writing requirement, and ambiguity belongs on the consumer's side of the line.
- **Written-confirmation workflow for oral disputes.** When a consumer disputes orally, we note the dispute and invite written confirmation — documenting good faith, clarifying whether § 1692g(b) cessation is triggered, and eliminating the ambiguity that drives litigation. Calls are recorded where lawful; the transcript decided *Green*.
- **Correct treatment per bucket.** Written dispute in the validation window: collection ceases on the disputed portion until verification is mailed (12 CFR 1006.38), with the dispute reflected in any reporting. Written pure refusal: honored as a § 1692c(c) cease-communication notice. Oral dispute: rights preserved, reporting flagged, recovery work continues lawfully.

This is the balance the statutes intend: consumers who contest a debt get every protection the law provides, immediately and without magic words — and creditors' legitimate recovery work is not frozen by frustration that contests nothing.

Statutory and regulatory authorities

AUTHORITY	PROVISION
15 U.S.C. § 1692c(c) — FDCPA	Written refusal to pay or cease-communication request → collector must stop communicating (three narrow exceptions).
15 U.S.C. § 1692g — FDCPA	Validation notice and dispute rights; (a)(3) disputes may be oral; (a)(4), (a)(5), and (b) expressly require a writing; written dispute → cease collection until verification.
15 U.S.C. § 1692e(8) — FDCPA	Collector must communicate that a disputed debt is disputed when it knows or should know of the dispute — no writing requirement.
15 U.S.C. § 1681s-2 — FCRA	Furnisher duties: (a)(3) dispute notation (regulator-enforced); (b) investigate-and-correct, triggered only by a bureau-routed dispute.
12 CFR 1006.38 & 1006.6(c) — Regulation F	Written-dispute verification duty and refusal/cease-communication trigger, carried forward from the statute's own split.
12 CFR 1022.43 — Regulation V	Direct-dispute regime: written, accuracy-focused, sent to the specified address with identifying detail and support.

"A debt collector may not use any false, deceptive, or misleading representation ... including ... the failure to communicate that a disputed debt is disputed."

FAIR DEBT COLLECTION PRACTICES ACT · 15 U.S.C. § 1692e(8)

About Southwest Recovery Services

Southwest Recovery Services is a contingency-based receivables recovery firm headquartered in Addison, Texas, serving healthcare, property management, commercial B2B, and seven other industry verticals since 2004. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts, with nationwide reach from 12 offices in 7 states. The model is pure contingency — no upfront fee, no retainer, no minimum; no recovery, no fee — backed by a documented, Reg F-compliant process and ACA International membership.

Case law and enforcement

AUTHORITY	HOLDING / RELEVANCE
Riccio v. Sentry Credit , No. 18-1463 (3d Cir. 2020) (en banc)	Ended the circuit split: § 1692g(a)(3) disputes may be oral. Joined <i>Camacho</i> (9th Cir. 2005), <i>Hooks</i> (2d Cir. 2013), <i>Clark</i> (4th Cir. 2014).
Brady v. Credit Recovery Co. , 160 F.3d 64 (1st Cir. 1998)	§ 1692e(8) turns solely on the collector's knowledge that a debt is disputed, however acquired; "dispute" does not contemplate a writing.
Bowse v. Portfolio Recovery Assocs. (7th Cir. 2018)	"The amount reported is not accurate" was a sufficient dispute without the word "dispute."
Chiang v. Verizon New England , 595 F.3d 26 (1st Cir. 2010)	Direct-to-furnisher notice does not trigger § 1681s-2(b) duties; the private path runs through the bureaus.
Green v. LVNV Funding, LLC (D.N.J. 2024) (unpublished)	Asking how a debt was calculated did not dispute it "in any sense of the word" — persuasive authority on where inquiry ends and dispute begins. <i>Sayre v. Live Oak Financial</i> (M.D. Ga. 2025) is in accord.
TransUnion LLC v. Ramirez , 594 U.S. 413 (2021)	Concrete-injury standing requirements continue to shape § 1692e(8) litigation in the district courts — a reason documentation quality matters on both sides.
CFPB enforcement (Jan. 2025)	Suit against Experian over dispute investigations; \$15M consent order against Equifax. Dispute handling is a live enforcement priority.

Front-line classification at a glance

WHAT THE CONSUMER SAID	BUCKET	SAME-DAY ACTIONS
"I'm not paying." / "I can't afford this." (oral)	Refusal to pay	Document verbatim. No dispute coding, no XB. Recovery work continues lawfully.
"Not my account." / "Wrong amount." / "Already paid." / "Never signed." (oral or written)	Dispute	Flag same day; reflect in any furnishing (XB); invite written confirmation; preserve the recording.
Written dispute within the 30-day validation window	Dispute (written)	Cease collection on the disputed portion until verification is mailed (12 CFR 1006.38); reflect in reporting.
Written "I refuse to pay" / "stop contacting me"	§ 1692c(c) notice	Cease communication except the three statutory exceptions. Not a dispute; no verification duty.
Anything ambiguous — refusal wrapped around contesting language	Treat as dispute	Close calls go to the consumer's side of the line; escalate for compliance review.

Compliance-first recovery is a client asset.

Every account your organization places carries your name. Ask us how dispute classification, validation handling, and furnishing discipline protect your brand while we recover your receivables.

Call (866) 551-4684 · info@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. This analysis applies to consumer (B2C) accounts under the FDCPA and FCRA; commercial and B2B receivables are governed by separate law. Statutes, regulations, and case law cited are current to 2026 and should be verified, and written policies reviewed by counsel, before implementation. Southwest Recovery Services does not perform consumer collections in California, Washington, or Oregon.